SECURITIES AND EXCHANGE COMMISSION

17 CFR Part 240

[Release No. 34-89372; File No. S7-22-19]

RIN: 3235-AM50

Exemptions from the Proxy Rules for Proxy Voting Advice

AGENCY: Securities and Exchange Commission.

ACTION: Final rule.

SUMMARY: The Securities and Exchange Commission ("Commission") is adopting amendments to its rules governing proxy solicitations so that investors who use proxy voting advice receive more transparent, accurate, and complete information on which to make their voting decisions, without imposing undue costs or delays that could adversely affect the timely provision of proxy voting advice. The amendments add conditions to the availability of certain existing exemptions from the information and filing requirements of the Federal proxy rules that are commonly used by proxy voting advice businesses. These conditions require compliance with disclosure and procedural requirements, including conflicts of interest disclosures by proxy voting advice businesses and two principles-based requirements. The first principles-based requirement calls for proxy voting advice businesses to adopt written policies and procedures designed to ensure that the proxy voting advice is made available to registrants. The second principles-based requirement calls for proxy voting advice businesses to adopt written policies and procedures designed to ensure that they provide clients with a mechanism by which the clients can reasonably be expected to become aware of a registrant's views about the proxy voting advice so that they can take such views into account as they vote proxies. Although the requirements are principles-based, the amendments provide a non-exclusive list of methods, or safe harbors, that satisfy the conditions to the exemptions. In addition, the amendments codify the Commission's interpretation that proxy voting advice generally constitutes a solicitation within the meaning of

the Securities Exchange Act of 1934. Finally, the amendments clarify when the failure to disclose certain information in proxy voting advice may be considered misleading within the meaning of the antifraud provision of the proxy rules, depending upon the particular facts and circumstances.

DATES: *Effective date:* The rules are effective [INSERT DATE 60 DAYS AFTER PUBLICATION IN THE FEDERAL REGISTER].

Compliance dates: See Section II.E.

FOR FURTHER INFORMATION CONTACT: Daniel S. Greenspan, Senior Counsel, Office of Rulemaking, at (202) 551-3430 or Valian Afshar, Special Counsel, Office of Mergers and Acquisitions, at (202) 551-3440, in the Division of Corporation Finance, U.S. Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549.

SUPPLEMENTARY INFORMATION: We are adopting amendments to 17 CFR 240.14a-1(l) ("Rule 14a-1(l)"), 17 CFR 240.14a-2 ("Rule 14a-2"), and 17 CFR 240.14a-9 ("Rule 14a-9") under the Securities Exchange Act of 1934 [15 U.S.C. 78a *et seq*.] ("Exchange Act").[1]

[1] Unless otherwise noted, when we refer to the Exchange Act, or any paragraph of the Exchange Act, we are referring to 15 U.S.C. 78a of the United States Code, at which the Exchange Act is codified, and when we refer to rules under the Exchange Act, or any paragraph of these rules, we are referring to title 17, part 240 of the Code of Federal Regulations [17 CFR 240], in which these rules are published.

TABLE OF CONTENTS

I. INTRODUCTION **5**

II. DISCUSSION OF FINAL AMENDMENTS **22**

A. CODIFICATION OF THE COMMISSION'S INTERPRETATION OF "SOLICITATION" UNDER RULE 14A-1(L) AND SECTION 14(A) **22**
1. Proposed Amendments 26
2. Comments Received 28
3. Final Amendments 33

B. AMENDMENTS TO RULE 14A-2(B): CONFLICTS OF INTEREST **51**
1. Proposed Amendments 51
2. Comments Received 54
3. Final Amendments 58

C. AMENDMENTS TO RULE 14A-2(B): NOTICE OF PROXY VOTING ADVICE AND RESPONSE **68**
1. Proposed Amendments 70
2. Comments Received 73
3. Final Amendments 85

D. AMENDMENTS TO RULE 14A-9 ..... **124**
1. Proposed Amendments 124
2. Comments Received 127
3. Final Amendments 131

E. COMPLIANCE DATES **134**

III. OTHER MATTERS **136**

IV. ECONOMIC ANALYSIS **136**

A. INTRODUCTION **137**
1. Overview of Proxy Voting Advice Businesses' Role in the Proxy Process 140
2. Commenter Concerns Regarding the Rule's Economic Justification 146

B. ECONOMIC BASELINE **149**
1. Affected Parties and Current Market Practices 149
2. Current Regulatory Framework 167

C. BENEFITS AND COSTS **171**
1. Overview of Benefits and Costs and Comments Received 171
2. Codification of the Commission's Interpretation of "Solicitation" Under Rule 14a-1(l) and Section 14(a) 175
3. Amendments to Rule 14a-2(b) 176
4. Amendments to Rule 14a-(9) 197

5. Effect on Smaller Entities 199

D. EFFECTS ON EFFICIENCY, COMPETITION, AND CAPITAL FORMATION 200
1. Efficiency 200
2. Competition 204
3. Capital Formation 208

E. REASONABLE ALTERNATIVES 209
1. Use a more prescriptive approach in the final amendments 209
2. Require proxy voting advice businesses to include full registrant response in the businesses' voting advice 209
3. Public disclosure of conflicts of interest 210
4. Require additional or alternative mandatory disclosures in proxy voting advice 211
5. Require disabling or suspension of pre-populated and automatic submission of votes 212
6. Exempt smaller proxy voting advice businesses from the additional conditions to the exemptions 214
7. Require a Narrower Scope of Registrant Notice 215

V. PAPERWORK REDUCTION ACT 216

A. BACKGROUND 216

B. SUMMARY OF COMMENT LETTERS TO PRA ESTIMATES 218

C. BURDEN AND COST ESTIMATES FOR THE AMENDMENTS 218
1. Impact on Affected Parties 219
2. Aggregate Increase in Burden 230
3. Increase in Annual Responses 231
4. Incremental Change in Compliance Burden for Collection of Information 232
5. Program Change and Revised Burden Estimates 233

VI. FINAL REGULATORY FLEXIBILITY ANALYSIS 233

A. NEED FOR, AND OBJECTIVES OF, THE FINAL AMENDMENTS 233

B. SIGNIFICANT ISSUES RAISED BY PUBLIC COMMENTS 234

C. SMALL ENTITIES SUBJECT TO THE FINAL AMENDMENTS 235

D. PROJECTED REPORTING, RECORDKEEPING, AND OTHER COMPLIANCE REQUIREMENTS 237

E. AGENCY ACTION TO MINIMIZE EFFECT ON SMALL ENTITIES 240

VII. STATUTORY AUTHORITY 242

I. INTRODUCTION

Annual and special meetings of publicly traded corporations, where shareholders are provided the opportunity to vote on various matters, are a key component of corporate governance. The applicable laws are set by the state in which the corporation is incorporated. For various reasons, including the widely dispersed nature of public share ownership, most shareholders do not attend these meetings in person. Rather, most shareholders of publicly traded companies exercise their right to vote on corporate matters through the use of proxies.[2] Congress vested in the Commission the broad authority to oversee the proxy solicitation process when it originally enacted the Securities Exchange Act of 1934 (the "Exchange Act").[3] As the securities markets have become increasingly more sophisticated and complex, and the intermediation of share ownership and participation of various market participants has grown in kind,[4] the Commission's interest in ensuring fair, honest, and informed markets, underpinned by a properly functioning proxy system, dictates that we regularly assess whether the system is serving investors as it should.[5]

---

[2] *See Concept Release on the U.S. Proxy System*, Release No. 34-62495 (Jul. 14, 2010) [75 FR 42982 (July 22, 2010)] ("Concept Release"), at 42984.

[3] *See Regulation of Communications Among Shareholders,* Release No. 34-31326 (Oct. 16, 1992) [57 FR 48276 (Oct. 22, 1992)] ("Communications Among Shareholders Adopting Release"), at 48277 ("Underlying the adoption of Section 14(a) of the Exchange Act was a Congressional concern that the solicitation of proxy voting authority be conducted on a fair, honest and informed basis. Therefore, Congress granted the Commission the broad 'power to control the conditions under which proxies may be solicited' . . . .").

[4] *See* Concept Release at 42983 ("This complexity stems, in large part, from the nature of share ownership in the United States, in which the vast majority of shares are held through securities intermediaries such as broker-dealers or banks . . . .").

[5] *See, e.g.*, *id.* at 43020 ("The U.S. proxy system is the fundamental infrastructure of shareholder suffrage since the corporate proxy is the principal means by which shareholders exercise their voting rights. The development of issuer, securities intermediary, and shareholder practices over the years, spurred in part by technological advances, has made the system complex and, as a result, less transparent to shareholders and to issuers. It is our intention that this system operate with the reliability, accuracy, transparency, and integrity that shareholders and issuers should rightfully expect.").

In today's financial markets, which are characterized by significant intermediation and institutional investor participation,[6] proxy voting advice businesses[7] have come to play an important role in the proxy voting process by providing an array of voting services that can help investment advisers and institutional investor clients manage their substantive and procedural proxy voting needs.[8] Investment advisers and institutional investors often retain proxy voting advice businesses to assist them in making their voting determinations on behalf of their own clients and to handle other aspects of the voting process, which for certain investment advisers has become increasingly complex and demanding over time.[9] Investment advisers voting on behalf of clients (including retail investors) and institutional investors, by virtue of their holdings in many public companies, including as a result of indexing and other broad portfolio management strategies, must manage the logistics of voting in potentially hundreds, if not thousands, of

---

[6] *See Amendments to Exemptions from the Proxy Rules for Proxy Voting Advice*, Release No. 34-87457 (Nov. 5, 2019) [84 FR 66518 (Dec. 4, 2019)] ("Proposing Release") at 66519.

[7] For purposes of this release, we refer to firms that advise investment advisers and institutional investors on their voting determinations, and any person who markets and sells such advice, as "proxy voting advice businesses." Unless otherwise indicated, the term "proxy voting advice" as used in this release refers to the voting recommendations provided by proxy voting advice businesses on specific matters presented at a registrant's shareholder meeting, or for which written consents or authorizations from shareholders are sought in lieu of a meeting, and the analysis and research underlying the voting recommendations that are delivered to the proxy voting advice business's clients through any means, such as in a standalone written report or multiple reports, an integrated electronic voting platform established by the proxy voting advice businesses, or any combination thereof.

The reference to "proxy voting advice," as used in this release, is not intended to encompass (1) administrative or ministerial services, (2) data or research that is not used by a proxy voting advice business to formulate its voting recommendations, or (3) the identity of any of the proxy voting advice business's clients that receive such advice. To the extent any data or research underlies a proxy voting advice business's voting recommendations but is not delivered to its clients (such as internal work product), such data or research also would not constitute that business's proxy voting advice. Further, we recognize that, in formulating its voting recommendations, a proxy voting advice business may use data and research that was prepared by another party, such as market intelligence and database providers. For the avoidance of doubt, the fact that a third party's data and research is used by the proxy voting advice business would not, by itself, cause such third party to be a proxy voting advice business. However, if a proxy voting advice business uses a third party's data and research in formulating its voting recommendations and delivers such data and research to its clients, then the data and research would constitute part of the proxy voting advice business's proxy voting advice.

[8] *See* Proposing Release at 66520, n.17.

[9] *Id.* at 66519, n.9.

shareholder meetings and on thousands of proposals that are presented at these meetings each year, with the significant portion of those voting decisions concentrated in a period of a few months.[10]

Proxy voting advice businesses typically provide investment advisers, institutional investors, and other clients with a variety of services that relate to the substance of voting decisions, such as: providing research and analysis regarding the matters subject to a vote; promulgating their generally applicable benchmark voting policies (a "benchmark policy") or specialty voting policies (a "specialty policy"), such as a socially responsible policy, a sustainability policy, or a Taft-Hartley labor policy,[11] that their clients can use; and making specific voting recommendations to their clients on matters subject to a shareholder vote, either based on the proxy voting advice business's benchmark or specialty policies or based on custom voting policies that are proprietary to a proxy voting advice business's clients ("custom policy").[12] This advice is often an important factor in the clients' proxy voting decisions. Clients may use the proxy voting advice business's recommendations in a variety of ways, including as an alternative or supplement to their own internal resources in analyzing matters when deciding how to vote.[13]

---

[10] *Id.* at n.8.

[11] For example, the various benchmark and specialty policies of one proxy voting advice business, Institutional Shareholder Services (ISS), are set forth on the following web page: https://www.issgovernance.com/policy-gateway/voting-policies/. The various benchmark and specialty policies of another proxy voting advice business, Egan-Jones, are set forth on the following web page: https://www.ejproxy.com/methodologies/.

[12] *See* Proposing Release at 66519. As discussed *infra* Section II.C.3.c.i., we are excluding from the requirements of new Rule 14a-2(b)(9)(ii) proxy voting advice to the extent that such advice is based on custom policies. Custom policies would not include the proxy voting advice businesses' benchmark or specialty policies, even if those benchmark or specialty policies were to be adopted by proxy voting advice businesses' clients. *See infra* note 394 for a discussion of how a proxy voting advice business may satisfy the requirements of new Rule 14a-2(b)(9)(ii) in situations in which a client's custom policy is identical to the benchmark or specialty policies.

[13] *Id.*

Proxy voting advice businesses may also provide services that assist clients in handling the administrative tasks of the voting process, typically through an electronic platform that enables their clients to cast votes more efficiently.[14] In some cases, proxy voting advice businesses are given authority to execute votes on behalf of their clients in accordance with the clients' general guidance or specific instructions.[15]

Although estimates vary, each year proxy voting advice businesses provide voting advice to thousands of clients that exercise voting authority over a sizable number of shares.[16] Because proxies have become the predominant means by which shareholders of publicly traded companies exercise their right to vote on corporate matters,[17] and institutional investors hold a significant and increasing number of shares, proxy voting advice businesses have become uniquely situated in today's market to influence,[18] and in many cases directly execute, these investors' voting decisions.[19]

In recognition of the important and unique role that proxy voting advice businesses play in the proxy voting process[20] and in the voting decisions of investment advisers and institutional investors[21] who often vote on behalf of retail investors, the Commission proposed amendments to the Federal proxy rules in November 2019 to enhance the transparency, accuracy, and

---

[14] *Id.*

[15] *Id.*

[16] *Id.* at 66520, n.18.

[17] *Id.* at 66518, n.2.

[18] *See, e.g.*, letter from Council of Inst. Investors (Nov. 14, 2019) ("CII I") (noting that proxy voting advice businesses' "recommendations and related analysis" may be "market-moving").

[19] *See also infra* note 36 for a discussion of the increased institutional investor holdings in the U.S. markets.

[20] *Id.* at 66520.

[21] *Id.*

completeness of the information provided to clients of proxy voting advice businesses in connection with their voting decisions.[22]

Specifically, the Commission proposed amendments to codify its interpretation that proxy voting advice generally constitutes a solicitation within the meaning of Exchange Act Section 14(a) and therefore is subject to the Federal proxy rules. In addition, the Commission proposed to condition the availability of certain existing exemptions from the information and filing requirements of the Federal proxy rules commonly used by proxy voting advice businesses upon compliance with additional disclosure and procedural requirements. Finally, the Commission proposed to amend Exchange Act Rule 14a-9, the antifraud provision of the Federal proxy rules, to clarify that, depending upon the particular facts and circumstances at issue, the failure to disclose certain information in proxy voting advice may be considered materially misleading within the meaning of the rule.

We received many comment letters in response to the Proposing Release.[23] After considering the public comments, we are adopting the proposed rules with certain modifications as

---

[22] *See generally* Proposing Release.

[23] *See generally* letters submitted in connection with the Proposing Release, *available at* https://www.sec.gov/comments/s7-22-19/s72219.htm. Unless otherwise specified, all references in this release to comment letters are to those relating to the Proposing Release. In addition, the SEC's Investment Advisory Committee adopted recommendations asking the Commission to: (1) prioritize improvements to the proxy system (end-to-end vote confirmations, reconciliations, and universal proxies), (2) improve conflict-of-interest disclosure generally, (3) enhance the discussion about the value of proxy advisors and shareholder proposals, and (4) expand the economic cost-benefit analysis. *See* U.S. Securities & Exchange Commission Investor Advisory Committee, Recommendation of the SEC Investor Advisory Committee Relating to SEC Guidance and Rule Proposals on Proxy Advisors and Shareholder Proposals (Jan. 24, 2020) ("IAC Recommendation"), *available at* https://www.sec.gov/spotlight/investor-advisory-committee-2012/sec-guidance-and-rule-proposals-on-proxy-advisors-and-shareholder-proposals.pdf. These recommendations were not unanimously approved by the members of the Investor Advisory Committee; *see* letters from Stephen Holmes (Jan. 27, 2020) ("S. Holmes"); Paul G. Mahoney and J.W. Verret (Jan. 30, 2020) ("P. Mahoney and J.W. Verret"); Heidi Stam (Jan. 27, 2020). We address the substance of the IAC Recommendation, together with related public comments, in the discussion that follows. Finally, the 2019 Small Business Forum Report included a recommendation that the Commission provide "for effective oversight of proxy advisory firms under Rule 14a-2(b), with a focus on conflicts of interest, accuracy, transparency, and issuer-specific decision making." This recommendation was tied for first place in the priority ranking assigned by the participants of the breakout group session. *See* Final Report of the 2019 SEC Government-Business Forum on Small Business Capital Formation (December 2019) ("2019 Small Business Forum"), *available at* https://www.sec.gov/files/small-business-forum-report-2019.pdf.

described, and for the reasons set forth, below. Consistent with the proposal, we are adhering to—and adopting an amendment to Rule 14a-1(l) to codify—our longstanding view that proxy voting advice generally constitutes a "solicitation" under Section 14(a).[24] Absent an applicable exemption, a person providing such proxy voting advice would be subject to the Federal proxy rules' information and filing requirements, including the obligation to file and furnish definitive proxy statements. For reasons previously stated in the Proposing Release, we believe that proxy voting advice businesses should be eligible to rely on an exemption from such information and filing requirements for their proxy voting advice, but only to the extent that such exemption is appropriately tailored to their unique role in the proxy process and facilitates the transparency, accuracy, and completeness of the information available to those making voting decisions. As such, under the new rules that we are adopting, persons furnishing proxy voting advice constituting a solicitation as defined in new 17 CFR 240.14a-1(l)(1)(iii)(A) ("Rule 14a-1(l)(1)(iii)(A)") will be eligible to rely on the exemptions in 17 CFR 240.14a-2(b)(1) ("Rule 14a-2(b)(1)") and 17 CFR 240.14a-2(b)(3) ("Rule 14a-2(b)(3)")[25] only upon satisfaction of the conditions of new 17 CFR 240.14a-2(b)(9) ("Rule 14a-2(b)(9)").

As described in more detail below, we have modified these conditions in a number of respects in response to comments received to provide appropriate flexibility to proxy voting advice businesses to meet the principles that underlie the objectives of the rule, and to avoid unnecessary potential disruptions to their ability to provide their clients with timely voting advice. In addition, consistent with the amendments to 17 CFR 240.14a-2(b) ("Rule 14a-2(b)"), we are amending Rule 14a-1(l) to make clarifying changes to the definition of solicitation as it relates to

[24] *See infra* Section II.A.3.

[25] Proxy voting advice businesses have typically relied upon the exemptions in Rule 14a-2(b)(1) and (b)(3) to provide advice without complying with the filing and information requirements of the proxy rules. *See* Proposing Release at 66525 and n.68.